

## HS 307: Macroeconomics I

Course Code : HS 307

Course Name : Macroeconomics I

L-T-P-C : 3-0-0-3

Intended for : B. Tech./ Undergraduate students

Prerequisite :

Mutual Exclusion:

Approval: 54th BoA

### Course Contents

- **Introduction:** Nature and scope of Macroeconomics. (2 Hours)
- **National Income Accounting:** National income: concepts and measurement || Circular flow of national income in two, three, and four-sector economy || National income and economic welfare. (5 Hours)
- **Money and Inflation:** What is money? || The quantity theory of money || Inflation and interest rates || The nominal interest rate and the demand for money || Hyperinflation. (5 Hours)
- **Money supply and money demand:** Money supply: 100-percent and fractional-reserve banking || A model of the money supply || Monetary policy approaches and its frameworks || Money demand: different theories of money demand. (5 Hours)
- **Consumption and investment theories:** Consumption function || Keynes's psychological law of consumption and its implications || Consumption function puzzle: Kuznet's findings || Investment and its type || Investment determination: Classical and Keynesian approach. (5 Hours)
- **Economy in the short run:** Introduction to economic fluctuations || Aggregate demand: the goods market and the IS curve, the money market and the LM curve || The short-run equilibrium (10 Hours).
- **Introduction to the open economy:** The international flows of capital and goods || Saving and investment in a small open economy || Exchange rates: nominal and real exchange rates || Economic policies and exchange rate. (5 Hours)
- **Introduction to macroeconomics datasets:** This session aims at exploring macroeconomic databases and to empirically testify some of the economic theories in India context. (5 Hours)

### Textbooks:

1. Mankiw N. Gregory, **Macroeconomics**, Worth Publishers, 2023.
2. Froyen, R. T., **Macroeconomics: theories and policies**, Pearson Publication, 2023.

### References:

1. Mishkin, F., **Economics of money, banking and financial market**, Pearson Publication, 2023.